

The consumer relation with brands and characters, as opposed to networks or devices, puts this group in control. Publishers and content providers will be able to leverage their holdings as crucial differentiators between operators and manufacturers, thereby earning the biggest share of industry revenues. In this scenario, publishers have the opportunity to extend along the value chain or develop extremely profitable businesses. Developers will sustain themselves comfortably with contract work and have the opportunity to strike it rich through content innovation. Content providers (and their lawyers) will grow rich through licensing deals, or will branch out into development and publishing. There is some risk of cannibalization with other entertainment channels. The primary risk for this group, though, is that high profits and increased access (through independent portals) will attract an overabundance of content. As with the proliferation of cable-TV content or Game Boy Advance titles, the marginal profitability of each work is driven toward zero and the consumer is overwhelmed with unsatisfying options.

Supporting Evidence

Recent developments that support this scenario include:

Premium Content Drives Partnerships: By offering well-known brands like *Who Wants to be a Millionaire* and *Trivial Pursuit*, Codetoy was able to partner with both handset manufacturers and operators to gain distribution. AT&T Wireless paid an undisclosed but reportedly huge fee for a several-month exclusive to Activision's *Tony Hawk Pro Skater 4* game. Digital Bridges was able to sell *Orange World* an exclusive to EA's *FIFA Football* in 7 European markets.

Premium Content Owners Dominate Other Channels: Though margins are falling, premium content owners and publishers command the largest revenue share in both the movie and the TV industries.

A Software Environment Dominates

In this scenario, one software environment dominates. One possible scenario has Microsoft entering the mobile entertainment market by leveraging its position in the mobile business market. Although